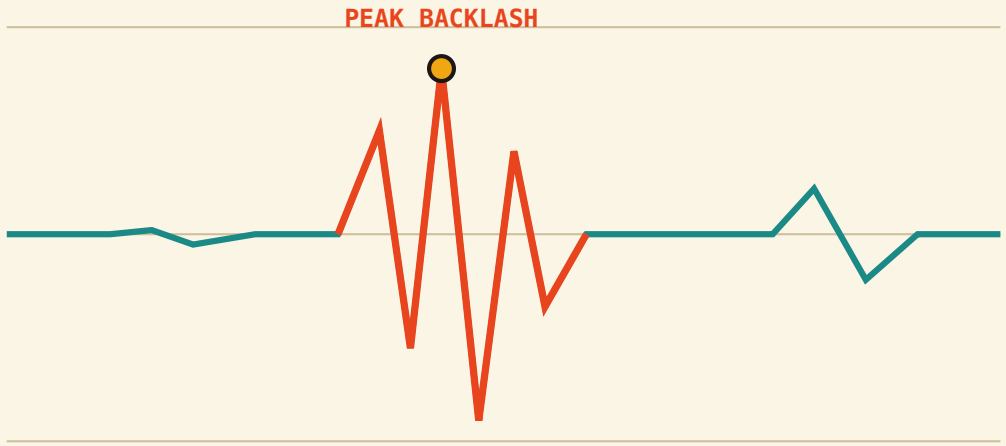
COLOUR MIXED-MEDIA ZINE

BUDGET → ROLLBACK • SEISMIC READING



original plan → *→ revised package*

REFORM AFTER-SHOCKS

Changes from the original **2026 federal budget** plans — read through incentives, productivity, equity, regulation and fiscal sustainability.

The thesis

The rollback shows microeconomic reform is rarely a clean efficiency exercise. It has to balance better incentives, political acceptability, fairness and long-run productivity.

Q *Did the changes improve reform design — or dilute it to calm critics while leaving new distortions?*

THE REFORM MAP

Budget plan → revised package

02

A visual overview before analysing each policy area.

TRACK 01

Tax package

Broad revenue direction holds, with concessions softening the hit on capital gains, trusts and small business.

TRACK 02

Risk capital

Carve-outs try to shield high-risk innovation from the same treatment as passive asset gains.

TRACK 03

Programs & rules

Service-delivery design and regulation — NDIS, childcare, migration, housing, energy and bank resilience.

$ CGT / neg. gearing

Broad revenue direction stayed; concessions soften the hit.

$ Small business

Active-asset relief widened from $2m to $10m turnover for one concession.

◆ Start-ups / biotech

Targeted 50% discount for eligible innovative firms, with caps and tests.

$ Trusts

Genuine testamentary trusts removed from the 30% minimum trust-tax floor.

♺ NDIS

Projected $37.8b savings plus cheaper supports through Thriving Kids.

♥ Childcare

Extra $3.6b wage-subsidy extension raised recurrent-spending concerns.

⌂ Migration / housing

More targeted migration and foreign-buyer rules — but supply stays central.

⛨ Regulation

RBA/APRA push banks to strengthen cyber and geopolitical resilience.

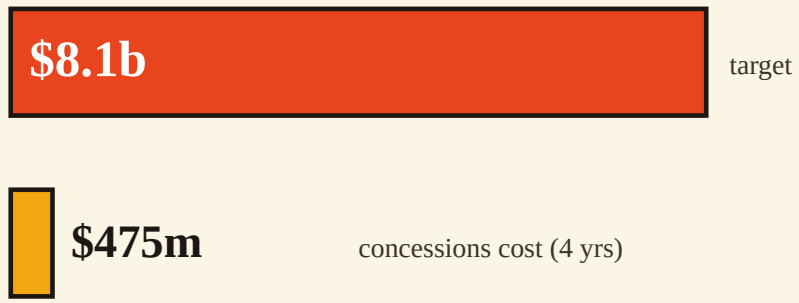
Equity goals meet incentive effects

The CGT and trust changes became the most visible rollback story.

FROM BROAD BASE → CARVE-OUTS

How much of the hit survived?

$ over forward estimates



Most of the original tax hit remained — the rollback trimmed, it did not reverse.

$ Original plan

Raise revenue from capital gains, negative gearing and discretionary trust distributions. AFR put the target at $8.1b over forward estimates.

$ Rollback

The announced concessions cost just $475m over four years — so most of the original tax hit remained intact.

$ Small business

Active-asset CGT relief expanded to $10m turnover — but only one of the four small-business CGT concessions widened.

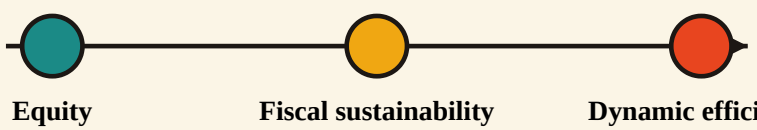
$ Trusts

Genuine testamentary trusts exempted from the 30% minimum trust-tax floor — to avoid the appearance of a death tax.

Microeconomic judgement

A tax-base reform can improve equity and reduce distortions between work income and asset income. But if it raises the **effective tax rate on entrepreneurial gains**, it may reduce risk-taking, business formation and dynamic efficiency.

POLICY TRADE-OFF LENS



Protecting risk capital

The carve-out tried to separate high-risk innovation from passive asset gains.

! The concern

Founders and investors warned higher effective CGT would make Australia less competitive for start-up employees, venture capital and founders.

◆ The carve-out

Eligible innovative start-ups keep a **50% CGT discount** rather than moving fully to the new model.

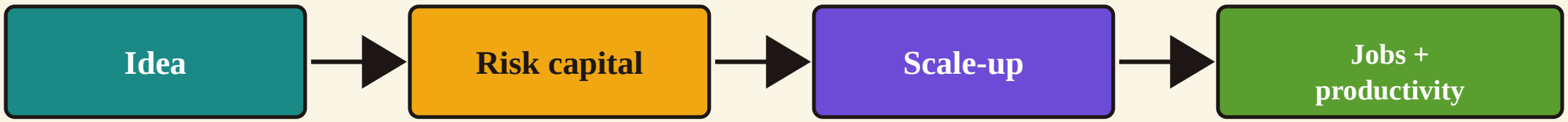
✓ Eligibility tests

Turnover below $50m, new equity, innovation criteria, a five-year holding period and detailed record-keeping.

$ Caps

Lifetime **$10m** gains cap before discount, and a maximum **$2.4m** individual tax benefit.

DYNAMIC EFFICIENCY FUNNEL



Exam link

Policy that protects the upside from successful risk-taking can increase innovation and long-run productivity. But complex caps can still push the most globally ambitious founders offshore.

NDIS & childcare

Service-delivery design is a major microeconomic reform issue.

NDIS diagnosis

AFR frames the NDIS as a demand-driven scheme that grew beyond its original purpose, creating fiscal-sustainability pressure.

NDIS change

Government pursued **$37.8b** in projected savings over four years and a Thriving Kids alternative from January 2028.

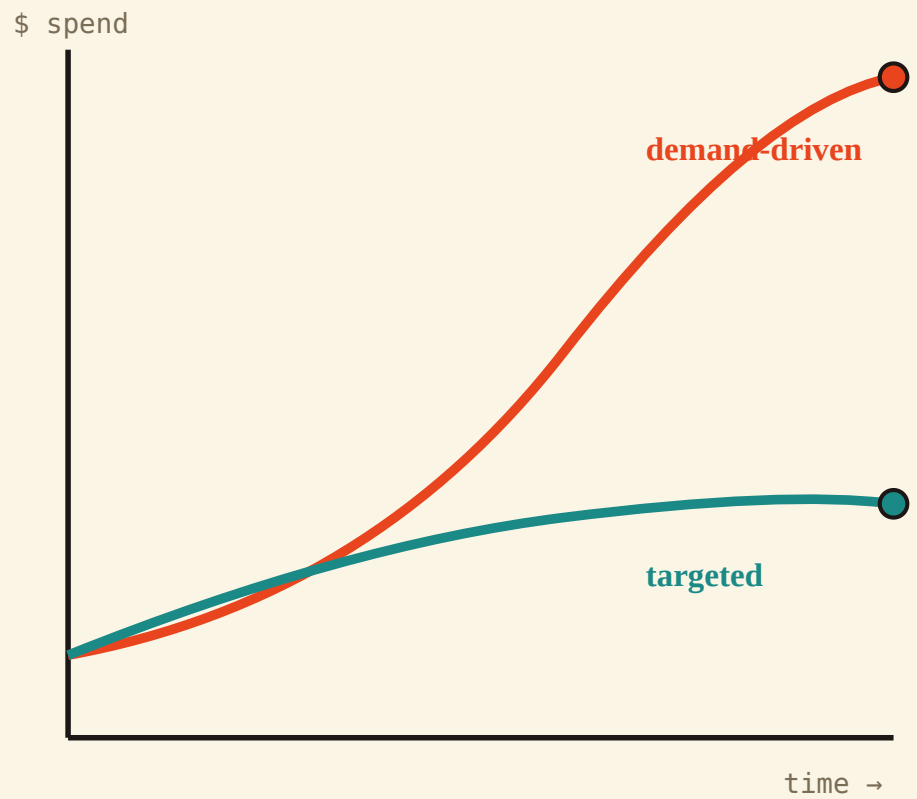
Childcare pressure

An extra unbudgeted **$3.6b** wage-subsidy extension for 60,000 childcare workers added to spending after the budget.

Policy risk

Temporary wage subsidies can become recurrent if withdrawing them triggers fee increases or worker pay cuts.

OPEN-ENDED SPENDING vs TARGETED SUPPORTS



Equity benefits vs efficiency & fiscal risk

Spending can improve wellbeing, inclusion and parental labour-force participation. But open-ended, demand-driven programs create opportunity costs and may crowd out other priorities unless eligibility, prices and service productivity are well designed.

Housing, migration & energy

06

Strong responses separate demand pressure from supply-side bottlenecks.

⌂ Migration changes

Tighter foreign-buyer rules for temporary migrants and a visa-points overhaul favouring younger, higher-skilled workers.

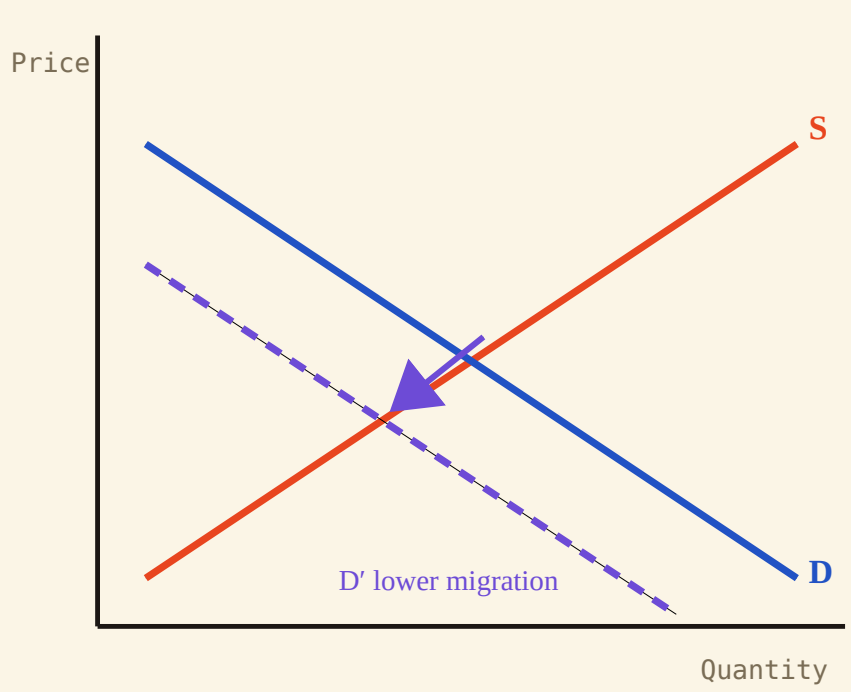
⌂ Housing insight

Lower migration may reduce demand but can worsen construction-labour shortages. Planning, land release and infrastructure remain core supply issues.

⚡ Power bills

Benchmark prices fell in some markets, yet daily supply charges and retailer offers meant some customers still faced higher bills.

DEMAND SHIFT ≠ AFFORDABILITY



Housing — demand + bottlenecks

Demand restraint alone won't clear the market while construction productivity, planning speed and labour supply lag.

Energy — price ≠ every bill

A lower reference price doesn't determine fixed supply charges or each retailer's market offer.

Exam warning

Do not say migration alone caused housing stress, or that regulated prices automatically lower every power bill. Strong analysis identifies **market structure, supply constraints and incentives**.

Resilience has a price tag

Better rules can improve resilience — but can add compliance costs.

What changed

APRA and the RBA urged stronger preparedness for geopolitical risk, cyberattacks, insider threats and payment disruption.

Why it matters

Financial stability supports efficient credit allocation, payments and investment confidence.

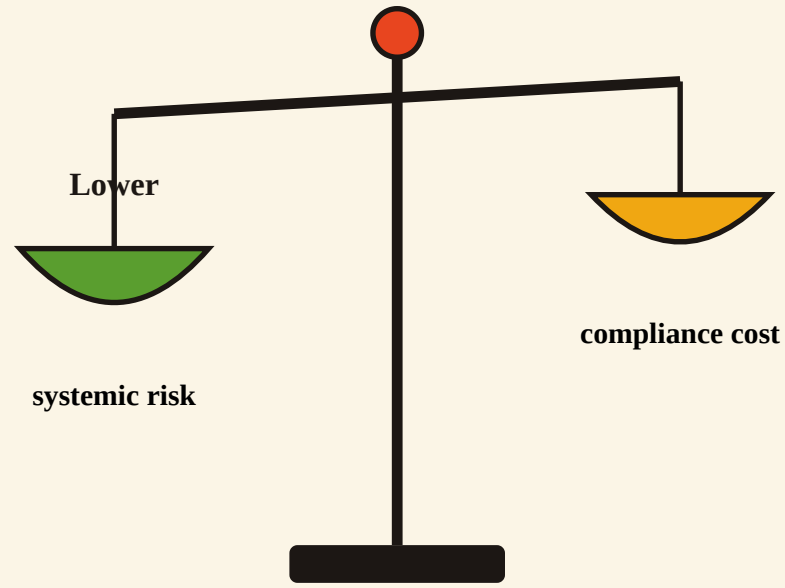
+ Efficiency benefit

Resilience reduces the risk that a shock disables core banking services or credit flows.

− Efficiency cost

Higher security, vetting and compliance can add operating costs.

WEIGHING THE TRADE-OFF



Sophisticated judgement

Resilience regulation is not a simple “more rules is better” case. Weigh reduced systemic risk against compliance cost — while noting that **well-designed rules can lower uncertainty** and support investment.

METHOD

How to write this in an HSC response

08

A mature answer uses evidence, concepts and judgement — not just a list of policies.

STEP 01
Define
Microeconomic reform: policies that change incentives and the operation of markets to improve efficiency, productivity, competition and adaptability.

STEP 02
Explain incentives
Show how the change affects after-tax returns, investment, entrepreneurship, consumption, work and saving.

STEP 03
Evaluate targeting
Ask whether policy separates market failure from high-risk growth activity, or creates new complexity and compliance costs.

STEP 04
Separate demand & supply
Migration, housing and energy examples require supply-side analysis — not one-cause explanations.

STEP 05
Balance benefits & costs
Reform can pursue fairness but may raise compliance costs or harm flexibility.

STEP 06
Judge productivity
For long-run living standards, ask whether reform encourages innovation and lowers transaction costs.

The best evaluative sentence

“The 2026 budget rollback illustrates the tension between equity-focused tax reform and dynamic efficiency: broadening the tax base may improve fairness, but poorly targeted reform can weaken entrepreneurship, risk capital and productivity growth.”

REVISION

Quick check: what to remember

09

Use this as a revision grid or the basis for a short-answer practice task.

POLICY AREA	CHANGE FROM ORIGINAL BUDGET DIRECTION	MICROECONOMIC REFORM INSIGHT
CGT / small business	Active-asset concession turnover threshold rose from $2m → $10m; only one concession widened.	Changes incentives to sell, invest and grow; partial relief may still leave complexity.
Start-ups	50% discount added for eligible innovation firms, with caps and tests.	Targets risk capital, but caps may reduce dynamic-efficiency benefits for high-growth firms.
Trusts	Genuine testamentary trusts excluded from the 30% trust-tax floor.	Equity reform may need carve-outs to avoid unintended distributional effects.
NDIS	Savings and shift to cheaper supports pressed ahead despite resistance.	Program design and targeting are micro-reform issues, not just budget issues.
Childcare	$3.6b wage-subsidy extension added after the budget.	Supports labour supply but may become recurrent and weaken fiscal sustainability.
Migration / housing	More targeted visas and foreign-buyer restrictions.	Housing affordability needs supply-side reform, not just demand restraint.
Energy	Reference prices fell, but daily supply charges and market offers varied.	Price regulation is limited when fixed costs and market structure vary.

Official policy context

Complementing AFR commentary with Budget, regulator and Productivity Commission evidence.

$ CGT timing

Official Budget material says the CGT reform starts on **1 July 2027**: the 50% discount is replaced by CPI indexation and a 30% minimum tax applies to gains.

⌂ New-build signal

Investors in new builds can choose the 50% discount or the new rules — the design also tries to steer capital toward extra housing supply.

◆ Loss carry-back

The Budget reintroduces company loss carry-back from **2026–27** for eligible loss-making companies, using losses against prior tax paid.

NCP reform link

Productivity Commission work supports a renewed National Competition Policy: occupational licensing, standards adoption and harmonised regulation.

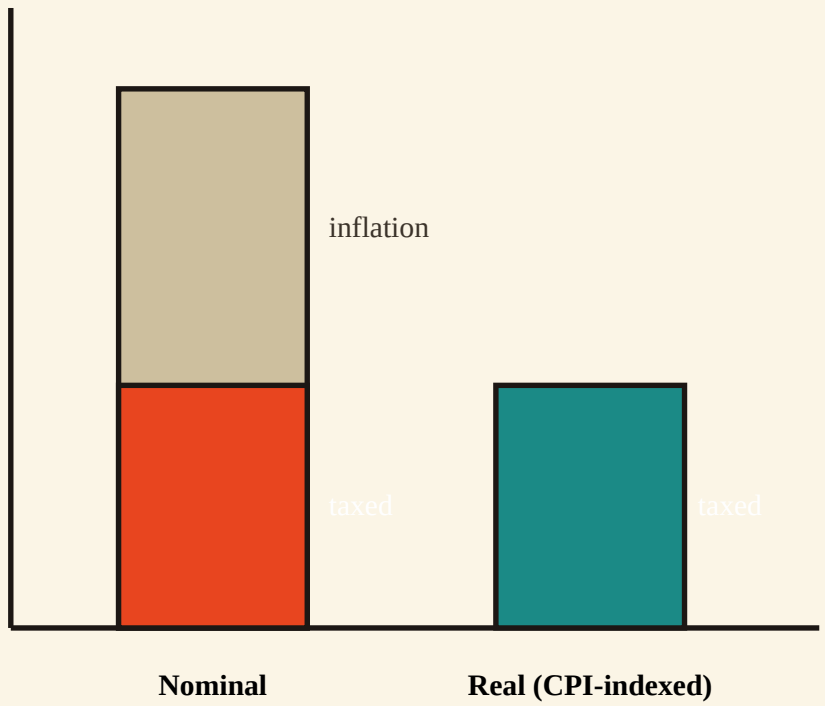
Classroom insight

The AFR articles emphasise backlash and rollback. The wider official context shows **two reform tracks running at once**: revenue-raising tax reform that changes incentives, and productivity-oriented reform that tries to cut regulatory frictions. A strong HSC answer evaluates the whole package.

Real gains vs risk capital

Use this page to deepen CGT / start-up evaluation.

TAXING REAL GAINS, NOT INFLATION



$ Real-gains logic

The Budget explainer argues CPI indexation restores the original purpose of CGT by taxing real gains rather than inflationary gains.

$ Asset neutrality

Changes apply broadly to CGT assets such as property and shares, with targeted exemptions.

⚖ Exam tension

This supports the government case on equity and neutrality — but AFR articles show concern that broad treatment can still hit high-risk entrepreneurial assets.

Student evaluation

Indexing capital gains may reduce tax distortions caused by inflation, but the impact on dynamic efficiency depends on **how well carve-outs protect high-risk innovation** and small-business investment without creating excessive complexity.

Human capital vs fiscal risk

NDIS and childcare show that service-delivery design is a major reform issue.

NDIS savings

Budget material says NDIS reforms are expected to save **$37.8b** over four years, while the scheme keeps growing each year.

Thriving Kids

The Budget provides **$2b** to establish Thriving Kids, part of a $5b Foundational Supports commitment matched by the states.

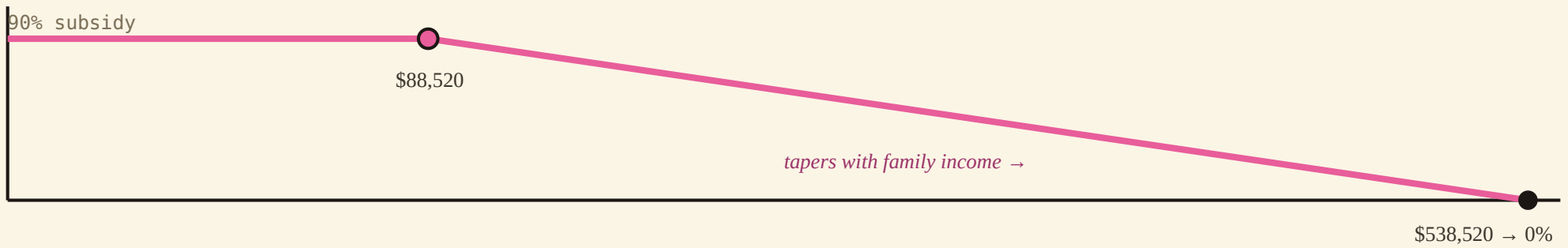
Public hospitals

The renewed National Health Reform Agreement includes **$25b** in additional public-hospital funding.

Childcare settings

The 2026–27 Child Care Subsidy is 90% up to family income of $88,520, tapering to zero by $538,520.

CHILD CARE SUBSIDY TAPER (2026–27)



Classroom insight

Care-sector spending can be productivity-enhancing when it improves labour-force participation, child development and inclusion. But if programs become open-ended or subsidies rise without stronger service productivity, **fiscal sustainability weakens and opportunity cost rises**.

Migration, housing & energy

Updated evidence strengthens demand-versus-supply analysis.

⌂ Migration program

Permanent Migration Program: **185,000** places, with an approximate 70:30 split between Skill and Family streams.

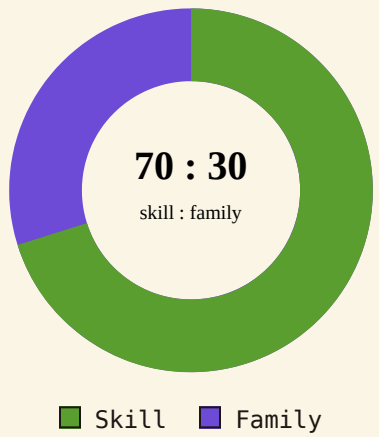
✓ Points-test reform

The points test is being reviewed to better identify migrants who drive long-term prosperity and meet labour-market needs.

⚡ AER reference prices

Final DMO data show benchmark changes differ by region and don't determine every market offer or fixed charge.

PERMANENT MIGRATION · 185,000



Population needs infrastructure

Lower migration alone won't fix housing — it needs construction productivity, planning speed and labour supply.

Reference prices ≠ the bill

Energy affordability depends on network charges, fixed supply charges and retailer contracts.

Classroom insight

A strong answer should not treat lower migration or lower regulated energy prices as complete solutions. Affordability is a **supply-side and market-structure problem**, not just a demand one.

Resilience + construction productivity

Regulation can enable productivity when it cuts uncertainty, failures and transaction costs.

APRA expectations

Entities often have gaps translating geopolitical awareness into practical risk management and crisis preparedness.

RBA context

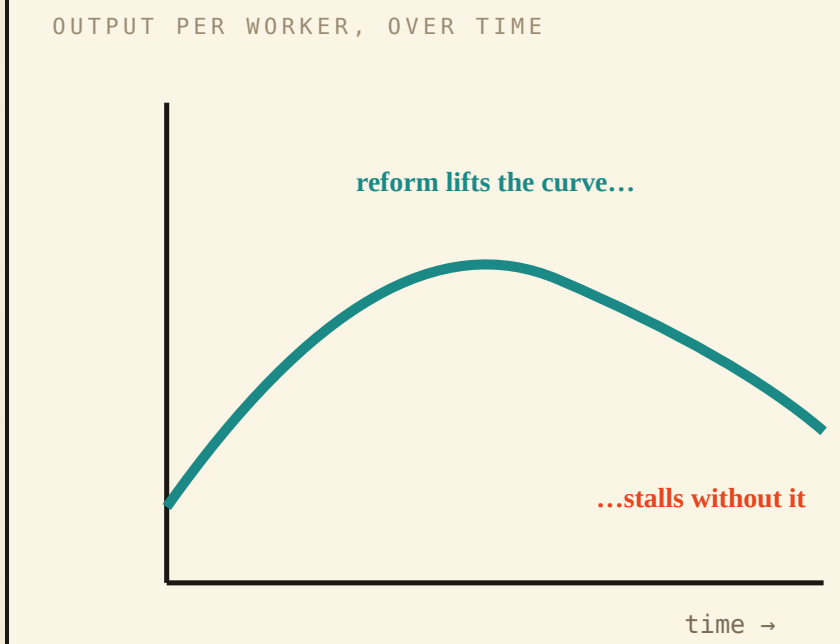
Financial systems now face sanctions, cyber, payments and confidence risks linked to geopolitics.

Housing productivity

Productivity Commission work says housing-construction productivity has been weak for decades.

Reform levers

Reduce regulatory burden, speed approvals, support innovation and improve workforce flexibility.



Classroom insight

This extends the AFR articles by showing microeconomic reform is not only about taxes. It also includes the **institutional rules** that decide how quickly homes are built, how resilient banks are, and how confidently households and businesses can make decisions.

Evidence + evaluation

Turn this zine into class discussion or short-answer practice.

What changed in this edition

A bolder riso-print mixed-media style, purpose-built diagrams for every concept, a seismograph cover motif and consistent, fit-checked callout boxes.

Teaching use

Ask students to rank each policy by effect on allocative efficiency, dynamic efficiency, equity, fiscal sustainability and political feasibility.

SUPPLEMENTARY OFFICIAL SOURCES USED

Budget.gov.au — Tax reform 2026–27 · Budget.gov.au — Negative gearing & CGT reform explainer · Budget.gov.au — Strengthening care and broadening opportunity · Budget Paper No. 1, 2026–27 · Productivity Commission — National Competition Policy analysis · Productivity Commission — Housing construction productivity · Productivity Commission — Early childhood education and care · Department of Education — Child Care Subsidy 2026–27 · Home Affairs — Migration planning & points-test review · Australian Energy Regulator — Final Default Market Offer · APRA — Geopolitical-shock readiness · RBA — Geopolitics and the Financial System.

Prompt for students

“To what extent did the post-budget changes improve the effectiveness of microeconomic reform? In your answer, refer to incentives, productivity, equity and fiscal sustainability.”